Securities Market

Securities market deals with shares (equity shares, preference shares, derivatives) and debt instruments (bonds, debentures etc.). Both **shares** and **debt** instruments are instruments of fund raising. But, there is a difference between them. In case of shares, the investors have a share in the capital and profit. In case of debt instruments, the investors do not have any share in the capital. They just lend to the company. The company is liable to pay interest on capital borrowed through bonds. Regardless of profit or loss, the debt instrument holders are entitled to receive interest income.

Debenture is also like a bond but there is a slight difference. Debentures are unsecured. It means there is no surety for debentures. The lender lends money to companies without any surety. In the case of bonds, there is some surety. It may be plant, machinery or building, etc.

Shares are of two types. One is Equity share and the other is Preference share. **Equity shares** are shares that have claim over capital, profit and loss. It means, the equity shareholders have right to receive profit if the company earns profit and have to forego capital to the extent of loss in case the company incurs loss.

Preference shares are shares that have entitlement to a fixed amount of dividend or dividend at a fixed rate like that of interest on bonds. In the case of winding up (closing up) of company, these shares have the preferential right to get back the capital paid. They have the right to get back capital next to bond holders.

Government and Industrial Securities Market

Based on the fund raiser, we can classify securities market into two types. One is Government securities market and the other is Industrial securities market.